

IEEPA Tariff Refund Claims: Technical Accounting Analysis and Subsequent Event Classification

Navigating IEEPA Tariff Refunds: Accounting & Reporting Post-SCOTUS Ruling



THE LEGAL LANDSCAPE & ELIGIBILITY



IEEPA Tariffs Ruled Unauthorized

SCOTUS held that "regulate" and "importation" in the Act do not grant tariff-imposing powers.



Limited to "Importer of Record"

Direct legal recourse against CBP is restricted to those designated as the importer of record.



On February 20, 2026, the U.S. Supreme Court ruled that the President lacks the authority under the International Emergency Economic Powers Act (IEEPA) to impose tariffs, opening the door for refunds.

ACCOUNTING & FINANCIAL REPORTING



Recognition Based on Probability

Under FASB ASC 410-30, claims should only be recognized when recovery is deemed "probable."



Type 2 Subsequent Event Treatment

Most public filings treat the ruling as a non-recognized event requiring only disclosure.



New ACE Refund Portal

CBP is developing a web-based portal within the Automated Commercial Environment to process requests.



MASSIVE SCALE & HISTORICAL PRECEDENT

53 MILLION
ENTRIES
for 330,000 IMPORTERS



1998 HMF
REFUND PROCESS
took **SEVERAL YEARS** to complete



ONLY
21,423
IMPORTERS
are currently set up for
ELECTRONIC
REFUNDS



Contractual Rights for Non-Importers

Entities using third-party logistics (like FedEx) must rely on specific contractual refund provisions.

1. Executive Context and Legal Landscape

The Learning Resources, Inc. v. Trump ruling (Feb 20, 2026) held that the International Emergency Economic Powers Act does not permit tariffs in peacetime emergencies, invalidating their legal basis.

For U.S. importers, past tariffs may shift from sunk costs to potential recoverable assets, but recognition depends on meeting the “probable recovery” threshold, which remains uncertain.

The following table summarizes the rapid evolution of the legal landscape:

Date	Authority	Action / Milestone
Feb 20, 2026	SCOTUS	Ruled IEEPA tariffs unauthorized; remanded refund mechanics to lower courts.
Mar 4, 2026	CIT	U.S. Court of International Trade (CIT) ordered refunds of "any and all" IEEPA duties.
Mar 6, 2026	CBP / CIT	Refund order partially suspended due to operational constraints; CBP began developing an electronic refund portal.
Apr 14, 2026	CIT	Confirmed U.S. Government expects to begin accepting refund claims (with interest) on April 20, 2026. Note: The case remains subject to appeal.

CBP’s operational bottlenecks materially weaken the “probability of recovery” assessment:

- 53M entries across 330k importers; refund system only ~60% complete
- Very low readiness: ~21k importers set up for electronic refunds
- Administrative delays could stretch for years, similar to past HMF recoveries

Implication: Significant uncertainty remains on timing, requiring careful judgment under ASC 855 for recognition.

2. Subsequent Event Classification: The Type 1 vs. Type 2 Debate

The classification of the SCOTUS ruling as a Type 1 vs. Type 2 subsequent event is a critical financial reporting judgment with direct balance sheet impact:

- **Type 1 (recognized event):** Permits recognition of a receivable, but only if the ruling provides evidence of a condition that existed at the balance sheet date. This requires a high evidentiary bar—typically pre-year-end litigation against the government and robust documentation supporting the claim amounts.
- **Type 2 (unrecognized event):** Treated as a post-period change in law, limiting treatment to footnote disclosure without recognizing an asset.
- **Practical reality:** While some entities had initiated litigation before year-end, most companies lack sufficient entity-specific evidence, leading to a conservative Type 2 classification in practice.

Conclusion: Unless there is clear pre-existing legal action and strong supporting records, Type 1 treatment is difficult to justify, and aggressive recognition positions are generally inappropriate.

Type 2: Unrecognized (Change in Law)	Type 1: Recognized (Pre-existing Condition)
Arguments: Held by PwC and Deloitte. The ruling is viewed as an event in the period it occurs, akin to a legislative change.	Arguments: Held by plaintiffs and the CPEA. Argues the President's actions were <i>always</i> unconstitutional; the ruling merely confirms a pre-existing invalidity.
Logic: The legality of the tariffs was the established condition at year-end; the SCOTUS decision is a post-balance sheet economic shift.	Logic: Aligns with ASC 855-10-55-1(a) , treating the ruling as a litigation settlement for events (tariff payments) occurring before the balance sheet date.

3. Recognition and Measurement for Importers of Record (ASC 410 and 450)



For the "importer of record," tariff recoveries are analyzed under loss recovery guidance. Due to a lack of explicit tariff-specific standards, practitioners apply FASB ASC 410-30-35-8 (Environmental Obligations) by analogy. This sets a rigorous "probable" bar for asset recognition under ASC 450.

To establish that a recovery is "probable," management must satisfy the following criteria:

1. Documented Intent: Clear evidence of the entity's plan to pursue the IEEPA refund.
2. Administrative Completion: The entity must have completed all procedures within the CBP's Automated Commercial Environment (ACE) system. This is a critical hurdle given the 45-day window CBP cited for system readiness and the low number of completed electronic setups.
3. Recordkeeping: Precise documentation for every entry and duty amount paid.

Historically, ASC 410-30-35-9 created a rebuttable presumption that a recovery is not probable if the claim is subject to litigation. While the SCOTUS ruling has resolved the primary legal question, management must remain cautious. The prospect of new, restrictive regulations regarding refund procedures could actually make satisfying the "probable" threshold more difficult in the near term.

4. Accounting for Non-Importers and Third-Party Logistics (3PL) Recoveries

Smaller importers who utilize 3PL providers (e.g., FedEx, UPS, or DHL) face significant hurdles, as the 3PL is typically the "importer of record." These entities lack direct legal recourse against the U.S. Government; therefore, any recovery is a commercial matter, not a regulatory one.

Management should evaluate potential recoveries based on enforceable contracts rather than "commercial negotiations." While public statements, such as the FedEx Statement of Intent, express a desire to pass through refunds to shippers, FedEx explicitly cautioned that the process "will depend in part on future guidance from the government." This dependency on external, future regulatory actions acts as a significant accounting trigger that typically precludes recognition. Unless an existing contract specifically provides for the rebate of invalidated tariffs, the "probable" threshold cannot be met, and the recovery must be treated as a contingent asset.



5. Revenue Recognition and Refund Obligations (ASC 606)

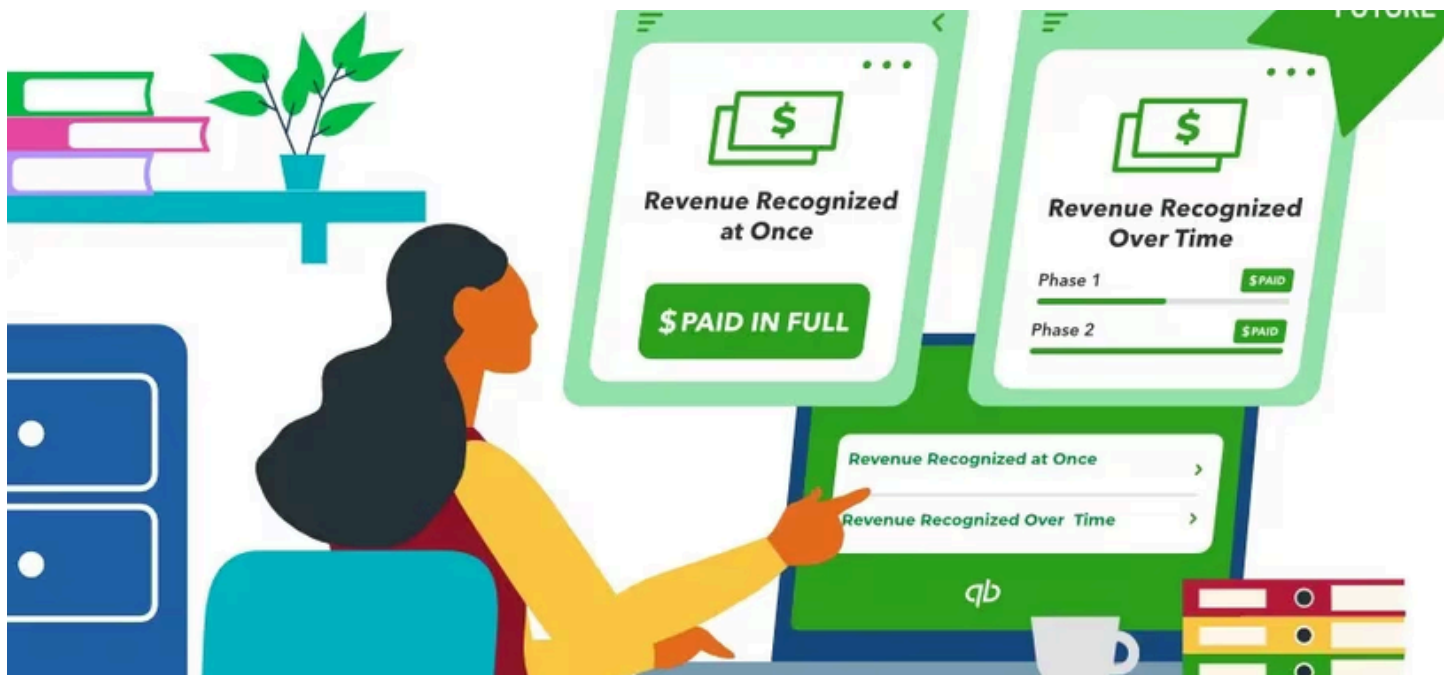
Entities that passed tariff costs to their customers must evaluate their obligations under FASB ASC 606. The SCOTUS ruling may trigger a contract modification under ASC 606-10-25-10 to 25-13, requiring the entity to account for the change in enforceable rights and obligations as of the ruling date.

Under ASC 606-10-32-6 and 32-7, "Implied Obligations" for refunds can exist even without explicit contract terms if the customer has a "valid expectation" based on:

- Customary business practices.
- Published corporate policies.
- Specific public statements.

Cautionary Note on Netting and Reciprocity: A technical mismatch exists: while "implied refund obligations" to customers must be recognized immediately under ASC 606, "implied refund receivables" from vendors or 3PLs are not recognized until they are contractually enforceable. Furthermore, management must monitor offsetting liabilities.

Following the ruling, the President imposed new tariffs under Section 122 of the Trade Act of 1974 for a duration of 150 days. These new liabilities may net against or offset potential IEEPA recoveries, further complicating the measurement of any recognized refund liability.



6. Disclosure Requirements and Management Assertions



Transparency is the primary requirement when recognition is deferred. SEC Chief Accountant Kurt Hohl has emphasized that "not many people are recognizing their tariff refunds," highlighting the need for robust disclosure over premature recognition. For Type 2 subsequent events, entities must disclose the nature of the event and an estimate of the financial effect (or a statement that such an estimate cannot be made).

Representative Disclosure Samples

Sample A (Uncertainty Focus):

"On February 20, 2026, the U.S. Supreme Court ruled that tariffs imposed under IEEPA were not authorized. The ruling does not establish a refund process, and significant uncertainty remains regarding the mechanics of recovery. Because the process, timing, and amount of any recovery are subject to administrative guidance and potential appeal, we are unable to estimate the financial effects at this time."

Sample B (Regulatory and Netting Focus):

"Following the SCOTUS ruling on IEEPA tariffs, the Company is evaluating potential recoveries. However, on February 24, 2026, new tariffs were imposed under Section 122 of the Trade Act of 1974 for a period of 150 days. The Company is currently assessing the impact of these new duties and the administrative requirements of the CBP refund portal. At this time, no recovery amounts have been recognized as the timing and net financial impact remain uncertain."

Ultimately, the distinction between a "legal right" and a "probable asset" is the central challenge; management must exercise rigorous professional judgment to navigate this evolving regulatory environment.



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